Oral Argument on State vs. Interstate Passenger Fares

WASHINGTON, D. C.

THE ISSUE between the railroads and the state railroad commissioners as to whether the Interstate Commerce Commission under the terms of the transportation act has been given increased power to remove state discriminations against interstate commerce, was sharply drawn in oral arguments presented before the full membership of the federal commission at Washington on October 11 and 12 in the New York and Illinois passenger fare cases. In these cases the railroads have petitioned the Interstate Commerce Commission to require an increase in the intrastate rates by the percentages authorized by the commission for interstate rates. The case was argued and briefs were filed not only by the railroads and the state commissions directly involved, but also by counsel for the Association of Railway Executives and the National Association of Railway and Utility Commissioners, which appeared on behalf of 42 state commissions in opposition to the position of the carriers, although 31 of the states have allowed the full amount of the advances allowed by the Interstate Commerce Commission. The position of the state commissions, as represented by John E. Benton, general solicitor of the National Association of Railway and Utilities Commissioners and a committee of five, was that in the transportation act Congress had merely written into the law the doctrine of the Shreveport case decision, and had not broadened the powers of the federal commission as to the rates for intrastate commerce, which Mr. Benton said is "none of the federal commission's business." Alfred P. Thom, general counsel for the Association of Railway Executives, on the other hand, contended that the act contains new law on the subject, in that the railroads for the first time have been given the right to complain of a state rate and that the Interstate Commerce Commission is authorized to remove a discrimination against the whole body of interstate commerce, not merely a discrimination against particular localities or persons.

Counsel for the state commissions made much of the fact that the Congressional committees before passing the act had left out the words authorizing the federal commission to remove an "undue burden" on interstate commerce, but Mr. Thom argued that this was immaterial since the law contained language authorizing the commission to consider intrastate rates on one hand and interstate rates on the other and determine whether either discriminates against the other. In other words, he said the commission must consider the whole field of interstate commerce and protect it, while the representatives of the state commissions argued that the roads must show unreasonableness or discrimination in particular rates, not merely that the state rates have not been raised by the same percentage as the interstate rates.

The railroads based their argument largely on the point that the failure of the authorities of 17 states to allow the full amount of the increase allowed as to interstate rates would reduce the amount of net operating income which the Congress and the federal commission had intended them to have and that if that situation were maintained it would be necessary further to increase the interstate rates and thereby increase the discrimination which they said it is the duty of the federal commission to prevent. The state representatives, on the other hand, took the position that in many cases discrimination would be created by applying the full percentages because some state rates are already higher than some of the interstate rates. This point was especially emphasized by the New York commission as to the effect on the fares of the Long Island, which, it asserted, is purely an intrastate carrier with rates already high as compared with those of the interstate lines.

Arguments were presented by R. V. Fletcher, of the Illinois Central; C. C. Paulding, of the New York Central, and Francis I. Gowen, of the Pennsylvania, and by the representatives of the New York and Illinois commissions. The closing arguments were made by Mr. Benton and Mr. Thom.

In both states the fares are now on a three-cent basis, in New York by a statute and in Illinois by an injunction restraining the state from enforcing a two-cent fare law. It was stated in the briefs that according to evidence introduced at the hearings the passenger revenue of the Illinois carriers would be $15,855,453 less on a two-cent fare than on a 3.6 cent fare, and that in New York the reduction in revenue under a three-cent rate as compared with a 3.6 cent rate would be about $12,000,000. Instances were also cited to show the effect of the difference in inducing the purchase of tickets to points on or near state lines to beat the interstate rates and the effect in reducing through interstate rates.

Over the objection of the Illinois commission, Chairman Clark ruled that the record in the advanced rate case, Ex Parte 74, should be considered as a part of the record in these cases. It was stated that in some states the railroads had objected to the introduction of any other evidence, although in one state they had insisted on the decision of the Interstate Commerce Commission being used instead of the record. Mr. Thom said that copies of the record had been supplied to all the state commissions at a cost of about $38,000.

When F. W. Putnam of the Minnesota Commission took the position that no evidence had been submitted in the state cases as to the reasonableness of the interstate rate increases, Commissioner Aitchison remarked that the evidence had been sufficient for 31 states. Mr. Putnam also argued that there had been no evidence as to the unreasonableness of the intrastate rates. In reply to a question by Commissioner Hall, he said that the reference in the law to a 6 per cent net operating income meant income from interstate and foreign commerce only.

Mr. Benton, in his argument, said the case involves the momentous issue as to whether the state regulating authorities shall cease to function as the state laws provide and that the carriers are seeking to "wipe the state commissions off the map." He said the carriers ought not to be heard unless they can show that they have exhausted their remedy before the state authorities and that they have not been deprived of their rights merely because some of the state commissions have not allowed the exact increases authorized for interstate rates.

Mr. Thom said that there has been too much jealousy of the federal power, that its exercise is a part of state government and should not be regarded as the act of a hostile organization. The laws of Congress, he said, are the laws of the states in the national field as well as national laws, because they represent the exercise of powers delegated by the states to the federal government. The federal power sprang from the need of the several states to be protected against the narrow or unfair views of other states, he said, and in this case it is the right of the 31 states that have approved of the national policy in respect to transportation and have agreed to bear their portion of the burden to be protected against discrimination on the part of the other 17 states. If the increases are not spread over the state rates the commission must further increase the interstate rates, which would place an increased burden on the 31 states for the benefit of the other 17.

The transportation act, Mr. Thom said, represents a national view of transportation and the law is to be construed to carry out the national conception of transportation written on every page of it. After the state rates have been brought before the commission by a complaint, the commission is authorized to build up the entire rate structure to the standard prescribed by Congress. The cost of supporting the instrumentalities of transportation must be apportioned among all the users fairly.

of the railway property of such carriers in that group, plus one-half of 1 per cent of that aggregate value for improvements, betterments, or equipment, chargeable to capital account.

Congress has taken, as the basis for determining a fair return for the railroads, the aggregate value of the railway properties in each group held for and used in the service of transportation. In making a tentative finding of the value of the railway properties in each group, for the purposes of our report, we included all the railway property of each carrier held for and used in the service of transportation. This should not be construed as holding that jurisdiction over intrastate rates and fares has been taken away from the state and reposed in us. We find nothing in the law to indicate that such was the intent of Congress. But Congress has directed that we allow rates that will yield in the aggregate a return of 5½ or 6 per cent upon the value of the railway property in each of the groups. There can be no doubt of the power of Congress to devise and provide for carrying into effect a plan for assuring to the nation's interstate railroads a fair return upon the value of their property; and the full control by Congress of this matter is not to be denied on the ground that the carriers' aggregate earnings are a commingling of intrastate revenue and interstate revenue.

The record shows that the refusal of the state of New York to permit the carriers to increase the rates and fares here in controversy to the extent approved by us is costing the railroads between $11,000,000 and $12,000,000 annually. In other words, the annual earnings of the interstate carriers operating in New York are now between $11,000,000 and $12,000,000 less than they would be if the general level of rates and fares approved by us had become effective on intrastate traffic; and to that extent the declared purpose of Congress is defeated by a preferential basis of rates and fares maintained by authority of the state of New York.

This proceeding presents a practical question which we have endeavored to deal with in a practical way. The needs of these interstate carriers for revenue to enable them to provide adequate transportation service and facilities are immediate and, in the interest of the public, can not be permitted to await the consideration in detail of individual fares, charges, and rates. The record shows that the respondent carriers perform the services here in question under substantially similar circumstances and conditions, whether in respect of interstate or intrastate transportation; and that the lower basis of intrastate fares, charges, and rates results in undue prejudice against interstate passengers and shippers and unjust discrimination against interstate commerce. The present record warrants the findings hereinafter made. Those findings are without prejudice to the right of the authorities of the state of New York or of any other interested party, to apply in the proper manner for a modification of our findings and order as to any fares, charges, or rates on the ground that the latter are not related to the interstate fares, charges, or rates in such a way as to contravene the provisions of the interstate commerce act.

Passenger Fares

The record leaves no doubt as to the unduly preferential character of the intrastate fares and charges now in effect in the state of New York. Interstate passenger fares are in general on a basis of 3.6 cents per mile as maximum. Passengers traveling between points in the state of New York and points in other states may be required to pay 3.6 cents per mile, whereas passengers traveling within the state of New York pay only 3 cents per mile. The basis of 3.6 cents applies on intrastate traffic in every state bordering on the state of New York. In other words, intrastate passengers in New York enjoy a basis of fares distinctly lower than those exacted of interstate travelers in the same territory, often riding in the same trains, and also lower than the fares paid by intrastate passengers in neighboring states. The record shows beyond question that there are no transportation conditions in the state of New York that justify lower rates or fares, on the whole, than those applicable in neighboring states, or lower than the interstate rates and fares between points in New York and points in other states.

The situation is well illustrated by the fares between New York City and Buffalo. Of the several available routes connecting these points that over the New York Central is intrastate while the others are interstate. Exclusive of war taxes it appears that since August 26, 1920, the fare has been $14.27 over the interstate routes and $13.16 over the New York Central, a difference of $1.11 in favor of the passenger using the latter route. In the case of a passenger occupying a lower Pullman berth the difference is increased to $2.36. Moreover, a passenger traveling from New York City to a point west of Buffalo can, by buying a ticket to Buffalo over the New York Central and buying another ticket at Buffalo to his destination, defeat the through interstate fare. Representatives of the carriers stated that the inevitable result of this situation would be the reduction of the interstate fare from New York to Buffalo to the level of the intrastate fare, and that this would tend to disrupt the entire fabric of the interstate passenger fares in the territory involved.

Inasmuch as the excess-baggage charges are arranged upon a scale bearing a fixed relationship to passenger fares and correspondingly graded in amount, such charges are governed by the passenger fares, and any discrimination in passenger fares would necessarily involve a discrimination in excess-baggage charges. This statement concerning the manner in which the baggage charges are determined is based upon the schedule of rates and charges of the carriers now on file in the commission's office.

Rates on Milk and Cream

The expression "milk and cream" as used herein includes milk, cream, skim milk, buttermilk, condensed milk, evaporated milk, and pot cheese, and for the purpose of indicating the effect upon interstate commerce and upon the revenues of carriers, of the discrimination under consideration, we give illustrations as follows:

The New York Central operates nine milk trains daily into the New York City district, carrying 1,300,000 quarts of milk and cream, of which approximately 75 per cent is shipped over intrastate routes and approximately 25 per cent over interstate routes.

Nine or ten carloads of milk and cream per day originate on the Ulster & Delaware, which extends from Kingston, N. Y., northwesterly to Oneonta, 107 miles. The cars are delivered to the New York Central at Kingston and, together with six or seven cars originating on a branch of the latter carrier extending southwesterly from Kingston, are there formed into a milk train which moves to New York over the tracks of the West Shore line. This route runs through a part of the state of New Jersey, the West Shore terminals being at Weehawken, N. J., and is therefore an interstate route. Shipments of milk and cream also originate at points along the east side of the Hudson in territory not far distant from that served by the Ulster & Delaware and move to New York over the intrastate route of the New York Central along the east bank of the Hudson river. On shipments using the interstate route the rates charged are 20 per cent higher than those over the intrastate route, although there is no justification from a transportation viewpoint for a difference in the rates.

Again, a milk train is operated by the Delaware & Hudson from Eagle Bridge, N. Y., which is northeast of Troy, in a northerly direction, a distance of 52 miles, to Castleton, Vt., thence southwesterly to Troy, N. Y., where it is delivered to the New York Central. Between Eagle Bridge and Castleton this train crosses the state line three times and again shortly after leaving Castleton for Troy. All shipments received before the last crossing of the state line are interstate shipments, the others intrastate shipments. On milk and cream in this train which happens to cross a state line charges must be paid substantially in excess of those applying on intrastate shipments moving in the same train. There is no doubt that shipments of milk and cream originating in western Vermont and shipped to the New York City district over interstate routes are in direct competition with shipments of the same commodities originating in the eastern part of the state of New York and moving to the New York City district over intrastate routes.

Furthermore, there is a substantial portion of the state of New York, which embraces, generally speaking, the central portion of the state, from which milk and cream may move to the New York City district over either interstate routes or intrastate routes. For the purpose of illustration we may refer to the line of the New York Central extending from Albany to Syracuse with a branch line extending from Syracuse southeasterly to Earlville, and to the line of the Delaware & Hudson from Binghamton to Albany. From this whole territory shipments of milk and cream may move to the New York City district over intrastate routes. From the same general territory, however, shipments may be moved over the interstate routes of the New York, Ontario & Western, the Delaware, Lackawanna & Western, and the Lehigh Valley railroads. Each of these roads has one or more points of contact with the New York Central's main line between Utica and Syracuse and with its branches in that territory. Shipments moving over the interstate routes now pay charges 20 per cent higher than those charged for shipments from substantially the same territory moving over intrastate routes.

The rates on milk and cream to the New York City district have been considered by us at various times. In Milk and Cream Rates to New York City, 45 I. C. C., 412, we found that the interstate rates on this traffic were unreasonable and unduly prejudicial to shippers from near-by points and unduly preferential of shippers from distant points; and we prescribed a scale of mileage rates, in blocks of 10 miles each, for distances up to 630

miles. The prescribed basis was also adopted by the New York Central on intrastate traffic, resulting in a uniform scale of rates over interstate and intrastate routes. By the application of the 20 per cent increase to interstate rates without a corresponding increase in intrastate rates, this uniformity has been destroyed.

Commutation Fares

The record contains comparatively little evidence on the subject of commutation fares, but so far as it goes it discloses facts in the presence of which we can not presume that the existing rate structure is just and reasonable in its established relationships and that it should be adopted as the basis upon which a general advance should be authorized, as in the foregoing particulars. We shall therefore reserve for future consideration this branch of the case, and as to it we do not now make any finding or enter any order, but we shall keep the case open for further investigation, limited to the subject of commutation fares and commutation baggage charges in the state of New York as to the question whether they cause any undue or unreasonable advantage, preference, or prejudice as between persons or localities in intrastate commerce on the one hand, and interstate or foreign commerce on the other hand, or any undue, unreasonable, or unjust discrimination against interstate or foreign commerce.

Findings

Subject to the above reservation in the matter of commutation fares and commutation baggage charges, we are of the opinion and find that the increases made by the carriers under Ex Parte 74, relating to passenger fares and baggage charges and now in effect, result in reasonable passenger fares and baggage charges for interstate transportation within the territory involved in this proceeding, and that the failure of the carriers within the state of New York to increase the standard intrastate fares and charges correspondingly has resulted in the past and will result in the future: In intrastate fares and charges lower than the corresponding interstate fares and charges; in undue prejudice to persons traveling in interstate commerce within the state of New York and between points in the state of New York and points in other states; in undue preference and advantage to persons traveling intrastate in New York, and in unjust discrimination against interstate commerce.

We further find that said undue prejudice and unjust discrimination should be removed by making increases in said intrastate passenger fares and baggage charges which shall correspond with the increases heretofore made as aforesaid in interstate passenger fares and baggage charges.

We further find that the increases made by the carriers under Ex Parte 74, relating to space occupied by passengers in sleeping and parlor cars, result in reasonable charges for the occupancy of such space by passengers traveling in interstate commerce in the territory involved in this proceeding, and that the failure of the carriers within the state of New York to increase correspondingly the charges for like space for passengers traveling in intrastate commerce has resulted in the past and will result in the future: In intrastate charges lower than the corresponding interstate charges; in undue prejudice to persons traveling in interstate commerce within the state of New York and between points in the state of New York and points in other states; in undue preference and advantage to persons traveling intrastate in New York, and in unjust discrimination against interstate commerce.

We further find that said undue prejudice and unjust discrimination should be removed by making increases in said intrastate charges which shall correspond with the increases heretofore made as aforesaid in interstate charges.

We further find that the increases made by the carriers under Ex Parte 74, relating to rates on milk and cream, and now in effect, result in reasonable rates on milk and cream for interstate transportation within the territory involved in this proceeding, and that the failure of the carriers within the state of New York to increase the intrastate rates on milk and cream correspondingly has resulted in the past and will result in the future: In intrastate rates lower than the corresponding interstate rates; in undue prejudice to shippers of milk and cream in interstate commerce within the state of New York and between points in the state of New York and points in other states; in undue preference and advantage to shippers of milk and cream in intrastate commerce in New York, and in unjust discrimination against interstate commerce.

We further find that said undue prejudice and unjust discrimination should be removed by making increases in said intrastate rates on milk and cream which shall correspond with the increases heretofore made as aforesaid in the rates on milk and cream shipped in interstate commerce.

We further find that, whether the aforesaid passenger fares, baggage charges, surcharges, or rates on milk and cream pertain to transportation in interstate commerce or to transportation in intrastate commerce, the transportation services, in each instance, are performed by the carriers under substantially similar circumstances and conditions.

An appropriate order will be entered.

Commissioner Eastman Dissents

Commissioner Eastman gave a dissenting opinion in part as follows:

I am unable to join in the decision of the majority, because I believe it goes beyond our lawful power.

It is, I think, our duty to conclude that when the Congress expects us to exercise new powers at the expense of the states, we shall be told to do so in plain and unmistakable terms.

In defining our jurisdiction, at the very beginning of the interstate commerce act, paragraph 2 of section 1 states that the provisions of the act shall not apply—

To the transportation of passengers or property, or to the receiving, delivering, storage, or handling of property, wholly within one State and not shipped to or from a foreign country from or to any place in the United States as aforesaid.

The language is unequivocal, and there is no subsequent provision which runs counter to the limitation. It is interstate and not intrastate transportation with which the act has to do. Under paragraph 4 of section 13 it is true that we may prescribe intrastate rates, but only for the purpose of removing unjust discrimination against interstate commerce. Plainly this power springs from and is merely an incident of the duty to regulate and protect interstate traffic.

Turning to section 15(a), our duty to establish rates which will enable carriers to earn a fair return upon the aggregate value of their railway property relates and is confined to *interstate* rates. Without regard to the limitation of section 1, there is no "clearly manifested purpose" to extend our authority over intrastate rates, and certainly there is none in view of this limitation. Nor is such a conclusion inconsistent with a reasonable interpretation and practical application of this section. A rule is laid down for our guidance, but our duty is confined to interstate rates and it is a duty merely to maintain such rates at the level which will yield the return desired, assuming that the states will exercise their own power justly and taking into consideration our right to correct intrastate rates which unjustly discriminate against interstate commerce.

Following our decision applications were filed for authority to make like increases in intrastate rates, fares, and charges. With a few minor exceptions the freight increases sought were permitted at once to become effective, as was possible under the state statutes, without indication of approval or disapproval and subject to complaint or investigation in the future. The situation was different as to passenger fares. By a provision of the New York law there are limited to a maximum of 3 cents per mile, but the state commission pointed out that it could permit fares in excess of this limit upon a showing that existing fares were insufficient to afford reasonable compensation for the service rendered. Notwithstanding this intimation the carriers offered no evidence and did not assert that the fares were insufficient, but relied upon the fact that we had permitted an increase of 20 per cent in the interstate fares. Under the circumstances no course seemed open to the New York commission except to deny the application, and this it did upon the sole ground of lack of evidence.

There is no basis for a belief that the New York commission is disposed to deal other than justly with the carriers, or that it would have been unduly exacting if they had undertaken to show insufficiency of compensation. Upon the facts before us and in a spirit of comity the carriers might well be remitted to the state tribunal to exhaust their remedies before coming to us for action which will deprive the state of all authority over intrastate fares so long as our order remains in effect. In this view of the matter whatever losses in revenue the carriers may have suffered are chargeable to their own default.

If the issue before us is not essentially different from the issue which has been considered in prior "Shreveport cases," it will, I think, be conceded that while the evidence may be sufficient to justify action against certain intrastate fares and charges, it is not sufficient to justify the all-embracing action which the majority approve. This is indicated by the fact that the carriers have not seen fit to rely upon preference to persons or communities, none of which are complaining, but have rested their case chiefly upon the allegation that the intrastate rates are upon a lower level than the interstate and fail to contribute their fair share of the railway operating income to which we have found that the carriers in the eastern group are entitled.

We were there faced with the necessity of providing without delay the additional revenue needed to bring the aggregate income of the carriers to the level prescribed by the act, and we adopted the expedient of authorizing horizontal percentage increases in rates, fares, and charges within and between certain territorial groups. This expedient was necessary, for any detailed consideration of individual rates